

Narendra Singh Pawar v. State of U.P.

High Court of Judicature at Allahabad · Division Bench · 3 March 2023 · WRIT - C No. - 3838 of 2023 · **Interim stay of recovery; vires of clause 4.3(f)(v) not decided.**

HEADNOTE

An erstwhile director challenged a recovery certificate dated 19.01.2023 for a company's electricity dues, saying he had given no personal guarantee and that clause 4.3(f)(v) of the U.P. Electricity Supply Code, 2005 is ultra vires the Electricity Act, 2003. The Division Bench issued notice to the company, connected the writ with the petitioner's pending Writ-C No. 40469 of 2016, and, until that hearing, restrained recovery from him under the certificate, without deciding personal liability or vires and without barring recovery by other lawful means against persons liable.

FACTUAL SUMMARY

Narendra Singh Pawar, an erstwhile director of respondent no. 6, faced a demand by respondent no. 5 and a recovery certificate dated 19 January 2023 for the company's electricity dues. He said he had never guaranteed the company's loan and could not be made personally liable. He contended that clause 4.3(f)(v) of the Supply Code, 2005 is ultra vires the Electricity Act, 2003. The same point was already pending in his Writ-C No. 40469 of 2016, in which notice had gone to the Advocate General.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)(v)

Interim restraint on recovery from an erstwhile director pending a vires challenge

HOLDING

Pending notice to respondent no. 6 and a joint hearing with Writ-C No. 40469 of 2016, the respondents are restrained from recovering any amount from the petitioner under the recovery certificate dated 19.01.2023. The restraint does not preclude recovery of the dues by other legal means against persons who are liable. Personal liability of the erstwhile director, and the plea that clause 4.3(f)(v) of the Supply Code, 2005 is ultra vires the Electricity Act, 2003, are not decided. ¶ 3.3.2023

PRINCIPLE TAGS

procedural-listing-no-construction

The Court made no construction of clause 4.3(f)(v). It only issued notice, connected the writ with a pending vires petition, and granted an interim restraint on recovery from the petitioner. ¶ 3.3.2023

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER CLAUSE 4.3(F)(V) OF THE SUPPLY CODE, 2005 IS ULTRA VIRES THE ELECTRICITY ACT, 2003, AND WHETHER AN ERSTWHILE DIRECTOR WHO GAVE NO PERSONAL GUARANTEE IS PERSONALLY LIABLE FOR THE COMPANY'S ELECTRICITY DUES.

Connected with Writ-C No. 40469 of 2016 and directed to be listed with it on 03.04.2023. ¶ 3.3.2023